APPRAISAL REPORT

Dunmore Calloway Health Center | Boston, MA

Subject Property	Dunmore Calloway Health Center
Address	5858 Centennial Way, Boston, MA 67666
Property Rights Appraised	Fee Simple
Effective Date of Value	January 14, 2018
Market Value Conclusion	$71,510,000

Supply and Demand

Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 7.25% and 7.25%. Patient parking and ADA-compliant access are provided at a ratio of 38 spaces per 1,000 square feet. The Boston Medical Office market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Boston Medical Office market has experienced absorption of 4100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 4.1% annually over the past 5 years. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 8.3% population growth over the last five years. Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 6.61% and 6.61%. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 32.32 acres and is generally level with frontage along Centennial Way. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 45 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 22.22 acres and is generally level with frontage along Centennial Way.

Demographics and Employment

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Median household income within a 5-mile radius of the property is approximately $43,000 and has grown 8.4% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 6.11% and 6.11%. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 10.6% population growth over the last five years.

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Demographics and Employment

Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 7.98% and 7.98%. The Boston Medical Office market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Patient parking and ADA-compliant access are provided at a ratio of 25 spaces per 1,000 square feet. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Market vacancy for comparable Medical Office product stands at 2.5%, down from 5.5% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 5.46% and 5.46%.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 14.14 acres and is generally level with frontage along Centennial Way. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 11 curb cuts and the property is served by municipal water and sanitary sewer.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 26.26 acres and is generally level with frontage along Centennial Way. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 8.8% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Market vacancy for comparable Medical Office product stands at 5.7%, down from 7.5% two years ago. The Boston Medical Office market has experienced absorption of 2500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 10.8% population growth over the last five years.

Topography and Flood Zone

The site contains approximately 26.26 acres and is generally level with frontage along Centennial Way. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 18 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

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Building Systems

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 14 stories. The roof is a 26-year membrane system with an estimated remaining useful life of 4 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Mechanical systems include rooftop package units and central plant equipment of varying age. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 11 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 22 stories. The roof is a 28-year membrane system with an estimated remaining useful life of 7 years. Patient parking and ADA-compliant access are provided at a ratio of 43 spaces per 1,000 square feet.

Common area interiors have been refreshed within the last 11 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Building Systems

Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 22 stories. The roof is a 36-year membrane system with an estimated remaining useful life of 8 years. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The roof is a 33-year membrane system with an estimated remaining useful life of 7 years. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 39 stories. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or S	Cap Rate	Yr Built
Newport Health Center	Louisville, KY	04/14/2024	21	$99,087,178	$570	8.09%	1965
Sterling Medical Pavilion	Pittsburgh, PA	01/08/2025	23	$87,291,457	$502	6.50%	1977
Bayview Health Center	Baltimore, MD	05/31/2025	45	$83,150,300	$478	7.18%	2011
Raven Medical Pavilion	San Antonio, TX	05/28/2023	38	$54,760,522	$315	6.65%	2013
Westgate Health Center	Boston, MA	10/14/2023	28	$83,173,174	$478	7.39%	2010
Ivy Medical Plaza	Atlanta, GA	10/21/2024	29	$80,295,876	$462	7.54%	2012
Lockwood Medical Pavilion	Houston, TX	09/14/2025	27	$51,484,171	$296	5.79%	1987
Summit Medical Plaza	Pittsburgh, PA	03/01/2024	26	$82,396,231	$474	7.47%	1967
Westgate Medical Pavilion	Salt Lake City,	10/20/2025	22	$95,220,492	$547	6.89%	1972
Elmhurst Health Center	Detroit, MI	08/21/2024	40	$57,377,618	$330	7.34%	2001
Valley Medical Plaza	Nashville, TN	08/14/2024	37	$51,239,095	$294	5.33%	2000
Westgate Medical Plaza	Philadelphia, PA	07/08/2026	23	$32,157,905	$185	5.37%	2014
Keystone Medical Plaza	Oklahoma City, O	10/31/2025	19	$91,381,048	$525	5.50%	2001
Calloway Medical Plaza	Dallas, TX	01/20/2026	44	$35,752,041	$205	5.83%	2009
Beacon Medical Pavilion	Hartford, CT	05/26/2026	38	$53,952,714	$310	6.64%	2001
Kingsley Medical Plaza	San Antonio, TX	10/14/2024	40	$63,073,139	$363	7.10%	1995
Pelican Medical Plaza	Cleveland, OH	12/19/2024	21	$66,736,372	$384	6.56%	1982
Whitaker Medical Pavilion	Tempe, AZ	04/28/2025	37	$89,896,096	$517	8.15%	1986
Dover Medical Plaza	Portland, OR	01/11/2024	46	$95,202,145	$547	5.60%	2011
Meridian Medical Pavilion	New Orleans, LA	01/23/2026	31	$70,396,887	$405	7.36%	1982
Cypress Medical Pavilion	Jacksonville, FL	03/31/2026	29	$85,881,381	$494	7.34%	2018
Willow Health Center	Orlando, FL	03/12/2026	25	$39,479,020	$227	7.79%	1990
Stonebridge Health Center	Grand Rapids, MI	01/03/2022	53	$32,338,240	$186	7.30%	1990
Valley Health Center	Las Vegas, NV	03/16/2024	28	$58,887,186	$338	6.75%	1989
Harbor Health Center	Boston, MA	01/28/2023	52	$86,896,906	$499	5.15%	1990
Ashford Health Center	Sacramento, CA	05/09/2023	27	$79,503,714	$457	6.97%	1974
Valley Medical Pavilion	New Orleans, LA	06/20/2025	37	$38,436,517	$221	7.76%	1971
Cobalt Medical Pavilion	Las Vegas, NV	07/08/2023	48	$66,318,786	$381	7.40%	2008
Calloway Medical Plaza	Boston, MA	05/28/2023	53	$44,225,219	$254	5.47%	2008
Juniper Medical Plaza	Orlando, FL	04/03/2023	25	$34,967,158	$201	5.05%	1982
Sable Medical Plaza	Atlanta, GA	10/08/2024	33	$94,134,466	$541	6.01%	2013
Magnolia Medical Pavilion	Nashville, TN	08/25/2023	29	$75,934,693	$436	6.86%	2022
Valley Health Center	Boise, ID	04/18/2022	41	$86,850,507	$499	5.24%	1994
Jasper Health Center	Louisville, KY	11/15/2023	51	$80,331,925	$462	5.22%	2012
Yarrow Medical Plaza	Portland, OR	07/26/2022	44	$70,633,729	$406	7.11%	2004
Yarrow Medical Pavilion	Newark, NJ	04/14/2022	42	$42,148,571	$242	7.86%	1985
Ridgeline Medical Plaza	Aurora, CO	06/08/2026	49	$54,119,739	$311	5.33%	1980
Lantern Medical Pavilion	Boise, ID	04/12/2023	52	$93,041,726	$535	7.86%	1980
Garnet Medical Pavilion	Philadelphia, PA	05/27/2023	52	$44,561,868	$256	5.46%	2000
Falcon Medical Pavilion	Aurora, CO	04/14/2025	39	$43,277,983	$249	6.72%	2003
Quincy Medical Plaza	Tampa, FL	08/15/2025	42	$59,674,058	$343	8.02%	1978
Stonebridge Health Center	Norfolk, VA	01/24/2022	18	$65,104,930	$374	6.12%	2003

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Operating Performance

Debt service coverage ratio was 7.33x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $375,000, representing a 11.7% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet. Operating expenses totaled $73,000 or approximately 27.61 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 5.70x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 32 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Operating Performance

Debt service coverage ratio was 6.55x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Operating expenses totaled $226,000 or approximately 46.45 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.19x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 43 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Valuation Discussion

Effective gross income for the trailing period was $63,000, representing a 13.1% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 3 spaces per 1,000 square feet. Operating expenses totaled $397,000 or approximately 22.66 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $108,000, representing a 2.8% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 10 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Osprey Medical Plaza	0.4 mi	1972	2BR	$30.29	87.8%	$500
Granite Medical Plaza	2.0 mi	1985	Inline	$23.87	97.1%	None
Garnet Medical Pavilion	3.6 mi	2013	Inline	$30.76	96.9%	None
Alder Health Center	0.5 mi	1981	Studio	$32.45	97.0%	1 mo. free
Lantern Health Center	2.4 mi	1988	1BR	$28.39	93.7%	None
Riverbend Medical Pavilion	3.1 mi	2009	1BR	$32.48	97.1%	1 mo. free
Cedar Medical Plaza	2.6 mi	1999	Bay	$25.19	88.2%	1 mo. free
Ridgeline Medical Pavilion	2.9 mi	1978	Studio	$32.80	94.2%	None
Cobalt Medical Pavilion	1.3 mi	1973	Bay	$27.27	88.0%	$500
Ivy Health Center	3.3 mi	2007	Inline	$26.38	90.6%	1 mo. free
Verde Medical Plaza	4.3 mi	1980	2BR	$28.89	94.6%	None
Calloway Medical Plaza	2.4 mi	1971	Inline	$29.61	95.8%	$500
Quarry Health Center	4.0 mi	1997	Bay	$26.82	96.9%	$500
Verde Medical Plaza	4.6 mi	1995	Suite	$24.13	91.5%	None
Lakeshore Health Center	2.9 mi	2007	Studio	$32.23	92.0%	None
Gatewood Medical Pavilion	1.5 mi	1997	2BR	$31.51	97.3%	$500
Mesa Health Center	2.9 mi	1996	Unit	$26.52	96.6%	1 mo. free
Dunmore Medical Plaza	3.3 mi	1994	Unit	$28.71	96.7%	None
Summit Health Center	2.0 mi	1980	Bay	$29.10	90.4%	None
Ridgeline Health Center	2.9 mi	1980	Unit	$32.14	95.7%	1 mo. free
Jasper Medical Plaza	4.0 mi	2015	Unit	$32.71	87.2%	$500
Nautilus Health Center	0.2 mi	1985	Bay	$32.67	90.2%	None
Saddlebrook Health Center	4.1 mi	2011	Bay	$31.57	96.9%	1 mo. free
Timberline Medical Pavilion	4.5 mi	1974	Inline	$28.83	96.4%	None
Amberly Medical Plaza	1.1 mi	1972	Bay	$30.08	95.8%	$500
Dover Health Center	4.0 mi	2011	Bay	$24.25	94.2%	$500
Stonebridge Medical Plaza	3.9 mi	1995	Inline	$31.05	91.9%	1 mo. free
Keystone Medical Plaza	2.6 mi	1996	Unit	$23.93	97.8%	1 mo. free
Windmill Health Center	1.2 mi	1987	Unit	$30.01	87.1%	1 mo. free
Meridian Medical Plaza	3.3 mi	1993	Unit	$27.23	90.4%	$500
Nautilus Health Center	2.9 mi	1979	Bay	$28.56	93.8%	None
Zephyr Medical Plaza	3.3 mi	2000	Inline	$28.48	91.1%	$500
Thornton Medical Pavilion	2.9 mi	1980	Inline	$27.99	92.7%	$500
Keystone Medical Pavilion	2.9 mi	2004	Bay	$27.26	96.4%	$500
Newport Medical Plaza	4.0 mi	1980	2BR	$30.53	95.6%	None
Palisade Medical Pavilion	4.4 mi	1991	Unit	$24.52	97.4%	None
Lockwood Medical Pavilion	4.7 mi	2012	Inline	$29.61	92.8%	None
Ashford Medical Pavilion	4.8 mi	1998	Unit	$24.04	86.5%	$500
Oakmont Medical Pavilion	4.6 mi	1994	Bay	$32.73	91.3%	None
Pelican Medical Plaza	2.9 mi	1972	1BR	$26.86	93.1%	None
Sterling Health Center	3.7 mi	1976	Studio	$28.25	94.8%	$500

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Submarket Analysis

Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 2-mile radius of the property is approximately $149,000 and has grown 11.8% annually. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 13.2% population growth over the last five years. Rent growth in the submarket has averaged 4.5% annually over the past 9 years.

Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet. Rent growth in the submarket has averaged 5.1% annually over the past 9 years. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 7.2% population growth over the last five years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 27 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 26.26 acres and is generally level with frontage along Centennial Way. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 35.35 acres and is generally level with frontage along Centennial Way. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 17 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Median household income within a 4-mile radius of the property is approximately $71,000 and has grown 4.5% annually. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 6.0% annually over the past 7 years.

Median household income within a 5-mile radius of the property is approximately $15,000 and has grown 9.9% annually. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 7.30% and 7.30%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Topography and Flood Zone

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Improvements Description

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Common area interiors have been refreshed within the last 6 years and are in average to good condition. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The roof is a 18-year membrane system with an estimated remaining useful life of 10 years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 32 stories.

Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Patient parking and ADA-compliant access are provided at a ratio of 42 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 8 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The roof is a 38-year membrane system with an estimated remaining useful life of 8 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or S	Cap Rate	Yr Built
Alder Medical Pavilion	Columbus, OH	02/05/2022	38	$35,468,574	$204	5.84%	1978
Windmill Medical Plaza	Aurora, CO	06/01/2022	51	$42,369,864	$244	7.43%	1990
Eastlake Health Center	San Antonio, TX	11/08/2022	47	$34,004,486	$195	5.43%	1984
Falcon Health Center	Riverside, CA	08/04/2023	24	$72,066,914	$414	7.87%	1968
Ironwood Health Center	Philadelphia, PA	01/20/2022	48	$97,553,221	$561	5.14%	1971
Pelican Medical Pavilion	Des Moines, IA	12/10/2023	28	$54,837,226	$315	7.58%	1965
Pelican Health Center	Sacramento, CA	04/03/2022	24	$92,021,777	$529	8.02%	1972
Eastlake Medical Pavilion	Milwaukee, WI	03/05/2026	36	$87,081,197	$501	5.85%	1980
Heritage Health Center	Nashville, TN	02/21/2022	48	$43,887,174	$252	5.36%	1990
Zephyr Health Center	Las Vegas, NV	10/21/2024	35	$88,812,037	$510	5.32%	2007
Juniper Medical Pavilion	Milwaukee, WI	01/17/2023	50	$67,665,237	$389	7.91%	1972
Newport Medical Plaza	Birmingham, AL	06/16/2025	33	$70,060,105	$403	6.87%	1970
Hawthorne Medical Plaza	Riverside, CA	08/13/2024	50	$52,659,257	$303	7.09%	2003
Brookside Health Center	Des Moines, IA	08/29/2026	28	$91,803,546	$528	7.58%	1976
Crestline Medical Pavilion	San Diego, CA	03/21/2025	49	$36,756,692	$211	6.34%	1983
Crestline Medical Plaza	Columbus, OH	07/24/2024	23	$79,670,222	$458	7.80%	1989
Falcon Medical Pavilion	Columbus, OH	08/09/2023	26	$46,784,661	$269	7.77%	1978
Marlow Medical Pavilion	Indianapolis, IN	07/24/2023	45	$89,400,422	$514	7.24%	2001
Aspen Health Center	Milwaukee, WI	11/17/2023	30	$43,916,505	$252	5.16%	1998
Ashford Health Center	Hartford, CT	02/04/2023	22	$43,901,900	$252	5.40%	2005
Onyx Health Center	St. Louis, MO	01/24/2023	40	$95,275,043	$548	5.81%	2010
Falcon Medical Plaza	Albuquerque, NM	01/26/2023	32	$68,328,114	$393	6.53%	1968
Maple Health Center	Birmingham, AL	10/31/2022	19	$89,992,286	$517	6.55%	1970
Prairie Medical Plaza	Indianapolis, IN	05/17/2024	47	$97,215,625	$559	6.63%	2006
Redwood Medical Pavilion	Orlando, FL	02/12/2025	38	$64,255,533	$369	6.37%	1998
Driftwood Medical Pavilion	Detroit, MI	10/24/2024	19	$65,570,902	$377	6.33%	1966
Palisade Medical Plaza	Salt Lake City,	01/20/2025	33	$59,567,373	$342	5.90%	1973
Quarry Medical Plaza	Kansas City, MO	02/23/2024	32	$94,998,361	$546	5.86%	1994
Dover Medical Pavilion	Seattle, WA	10/20/2022	20	$76,930,177	$442	7.29%	1980
Hawthorne Medical Pavilion	Memphis, TN	07/04/2026	50	$67,412,045	$387	7.26%	2007
Jasper Medical Plaza	Austin, TX	10/17/2023	37	$82,052,069	$472	6.98%	2005
Falcon Health Center	Birmingham, AL	12/27/2025	48	$34,126,541	$196	6.41%	1978
Birchwood Health Center	Louisville, KY	01/05/2024	32	$50,358,223	$289	8.10%	2001
Osprey Health Center	Tampa, FL	05/31/2024	45	$79,408,910	$456	7.64%	1973
Granite Health Center	Norfolk, VA	04/27/2026	40	$58,963,984	$339	7.17%	1985
Gatewood Medical Pavilion	Baltimore, MD	03/09/2025	32	$32,628,171	$188	7.10%	1998
Everett Health Center	Tempe, AZ	08/31/2023	52	$46,698,397	$268	5.73%	1996
Oakmont Medical Plaza	Salt Lake City,	12/31/2022	34	$65,144,976	$374	6.03%	2020
Verde Health Center	Denver, CO	11/28/2025	44	$49,424,840	$284	5.74%	1996
Everett Health Center	Salt Lake City,	05/28/2026	34	$71,781,515	$413	7.93%	1977
Saddlebrook Medical Pavili	San Antonio, TX	08/16/2026	22	$95,524,524	$549	6.00%	1965
Raven Health Center	Atlanta, GA	02/03/2026	51	$97,425,806	$560	6.01%	1989

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Income and Expense Review

Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Effective gross income for the trailing period was $28,000, representing a 11.6% increase over the prior year. The going-in capitalization rate of 5.17% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. Effective gross income for the trailing period was $42,000, representing a 12.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

Operating Performance

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.97x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 15 spaces per 1,000 square feet.

The going-in capitalization rate of 5.35% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.47x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 17 spaces per 1,000 square feet. Operating expenses totaled $356,000 or approximately 46.53 per square foot, with real estate taxes representing the largest line item.

Operating Performance

Effective gross income for the trailing period was $128,000, representing a 11.7% increase over the prior year. The going-in capitalization rate of 5.54% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $65,000 or approximately 37.60 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.44x on a trailing basis against a covenant minimum of 1.20x.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Granite Medical Plaza	2.2 mi	2014	1BR	$28.57	89.8%	$500
Canyon Medical Pavilion	3.0 mi	2008	1BR	$30.25	89.2%	1 mo. free
Garnet Medical Plaza	1.3 mi	1988	Unit	$25.64	89.0%	None
Onyx Medical Pavilion	1.3 mi	1983	Studio	$28.95	97.7%	None
Kestrel Health Center	3.5 mi	1974	Studio	$30.74	93.9%	None
Lockwood Health Center	4.7 mi	1988	1BR	$25.37	88.2%	$500
Keystone Medical Plaza	1.9 mi	1996	1BR	$30.11	88.8%	None
Palisade Health Center	3.3 mi	1971	2BR	$25.52	97.1%	None
Foxglove Medical Pavilion	3.3 mi	1986	Studio	$32.01	96.8%	None
Eastlake Health Center	2.1 mi	1997	Suite	$29.15	87.1%	$500
Windmill Health Center	2.1 mi	1970	Studio	$23.98	94.0%	$500
Timberline Medical Plaza	4.2 mi	1973	Suite	$28.46	94.9%	$500
Banyan Medical Plaza	0.8 mi	1988	Suite	$29.72	97.8%	$500
Marlow Medical Pavilion	1.6 mi	1998	Inline	$27.58	86.5%	None
Jasper Medical Plaza	2.9 mi	1977	1BR	$27.81	86.8%	1 mo. free
Zephyr Health Center	2.7 mi	1982	1BR	$27.30	93.8%	None
Beacon Health Center	0.2 mi	1972	1BR	$25.48	97.0%	None
Dover Medical Pavilion	2.4 mi	1978	Unit	$25.92	93.8%	None
Falcon Medical Plaza	4.7 mi	1995	Inline	$31.34	88.0%	$500
Amberly Medical Plaza	4.5 mi	1985	2BR	$28.87	89.9%	None
Osprey Medical Pavilion	2.5 mi	1988	Suite	$32.22	89.4%	None
Whitaker Medical Pavilion	0.7 mi	1983	2BR	$26.86	95.4%	$500
Beacon Health Center	4.5 mi	2016	Bay	$24.66	94.4%	1 mo. free
Lockwood Medical Plaza	3.5 mi	1981	Suite	$27.87	97.5%	None
Falcon Health Center	4.4 mi	2012	Inline	$25.96	92.9%	$500
Zephyr Health Center	4.5 mi	2001	2BR	$30.65	87.3%	1 mo. free
Amberly Health Center	4.6 mi	1993	1BR	$33.16	95.1%	None
Lockwood Health Center	4.9 mi	2017	Unit	$27.89	88.1%	$500
Sterling Health Center	1.0 mi	2015	Bay	$31.84	89.7%	$500
Harbor Health Center	3.0 mi	1995	1BR	$32.81	95.3%	None
Whitaker Medical Pavilion	2.8 mi	2009	Inline	$29.97	94.9%	None
Alder Medical Plaza	2.9 mi	1981	Inline	$30.91	89.9%	None
Palisade Medical Plaza	4.2 mi	1971	Studio	$29.19	88.2%	$500
Aspen Medical Plaza	0.4 mi	2017	Bay	$29.17	90.8%	1 mo. free
Sable Medical Plaza	1.1 mi	2006	Inline	$25.25	94.4%	None
Vista Health Center	4.9 mi	1983	2BR	$29.79	91.1%	1 mo. free
Riverbend Medical Plaza	1.1 mi	1995	Inline	$26.39	88.3%	None
Pelican Health Center	3.5 mi	1975	Bay	$26.33	95.7%	$500
Kingsley Health Center	4.2 mi	2012	2BR	$30.77	86.6%	None
Magnolia Health Center	4.0 mi	1999	1BR	$32.97	97.0%	None
Cobalt Health Center	2.9 mi	2007	1BR	$28.83	89.7%	None
Jasper Health Center	0.5 mi	2021	1BR	$23.95	87.1%	None

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Market Overview

Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet. The Boston Medical Office market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 6.51% and 6.51%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Market vacancy for comparable Medical Office product stands at 11.1%, down from 5.7% two years ago. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 14 spaces per 1,000 square feet. Rent growth in the submarket has averaged 5.0% annually over the past 10 years. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 12.0% population growth over the last five years.

Access and Utilities

Access to the site is provided by 30 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 46.46 acres and is generally level with frontage along Centennial Way. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 41.41 acres and is generally level with frontage along Centennial Way. Access to the site is provided by 17 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet. The Boston Medical Office market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rent growth in the submarket has averaged 3.2% annually over the past 9 years.

Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 2.7% population growth over the last five years. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. Median household income within a 2-mile radius of the property is approximately $247,000 and has grown 7.2% annually. Market vacancy for comparable Medical Office product stands at 11.4%, down from 3.6% two years ago.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 3.3 acres and is generally level with frontage along Centennial Way. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

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Construction Details

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 12 years and are in average to good condition.

Patient parking and ADA-compliant access are provided at a ratio of 16 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Improvements Description

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Common area interiors have been refreshed within the last 10 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

The roof is a 47-year membrane system with an estimated remaining useful life of 9 years. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 36 stories. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 7 years and are in average to good condition. The roof is a 28-year membrane system with an estimated remaining useful life of 8 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 34 stories. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Dunmore Calloway Health Center and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on December 17, 2017.

_____

David Mitchell, CPG

Stone & Marsh Appraisal

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